

Economic activity in the manufacturing sector grew in February, with the overall economy notching a ninth consecutive month of growth, say the nation's supply executives in the latest Manufacturing ISM® *Report On Business*®.

The February Manufacturing PMI® registered 60.8 percent. The New Orders Index registered 64.8 percent, up 3.7 percentage points from the January reading of 61.1 percent. The Production Index registered 63.2 percent, an increase of 2.5 percentage points compared to the January reading of 60.7 percent. The Employment Index registered 54.4 percent, 1.8 percentage points higher from the January reading of 52.6 percent. The Supplier Deliveries Index registered 72 percent, up 3.8 percentage points from the January figure of 68.2 percent. The Inventories Index registered 49.7 percent, 1.1 percentage points lower than the January reading of 50.8 percent. The Prices Index registered 86 percent, up 3.9 percentage points compared to the January reading of 82.1 percent.

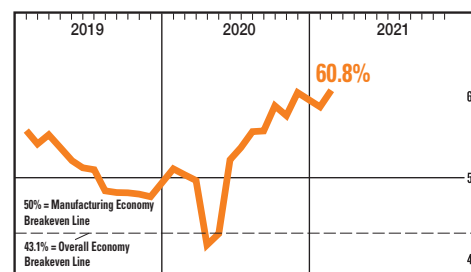
Of the 18 manufacturing industries, 16 reported growth in February, in the following order: Textile Mills; Electrical Equipment, Appliances & Components; Primary Metals; Paper Products; Chemical Products; Machinery; Fabricated Metal Products; Transportation Equipment; Wood Products; Plastics & Rubber Products; Computer & Electronic Products; Apparel, Leather & Allied Products; Food, Beverage & Tobacco Products; Miscellaneous Manufacturing†; Furniture & Related Products; and Nonmetallic Mineral Products. **ISM**

†**Miscellaneous Manufacturing** (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



MANUFACTURING PMI® at 60.8%

Manufacturing grew in February, as the Manufacturing PMI® registered 60.8 percent, 2.1 percentage points higher than the January reading of 58.7 percent. This equals the highest reading since February 2018 (60.8 percent); prior to that, the PMI® registered 61.4 percent in May 2004. A reading above 50 percent indicates that the manufacturing economy is generally expanding; below 50 percent indicates that it is generally contracting.



Manufacturing at a Glance

INDEX	Feb Index	Jan Index	% Point Change	Direction	Rate of Change	Trend* (months)
Manufacturing PMI®	60.8	58.7	+2.1	Growing	Faster	9
New Orders	64.8	61.1	+3.7	Growing	Faster	9
Production	63.2	60.7	+2.5	Growing	Faster	9
Employment	54.4	52.6	+1.8	Growing	Faster	3
Supplier Deliveries	72.0	68.2	+3.8	Slowing	Faster	60
Inventories	49.7	50.8	-1.1	Contracting	From Growing	1
Customers' Inventories	32.5	33.1	-0.6	Too Low	Faster	55
Prices	86.0	82.1	+3.9	Increasing	Faster	9
Backlog of Orders	64.0	59.7	+4.3	Growing	Faster	8
New Export Orders	57.2	54.9	+2.3	Growing	Faster	8
Imports	56.1	56.8	-0.7	Growing	Slower	8
Overall Economy				Growing	Faster	9
Manufacturing Sector				Growing	Faster	9

*Number of months moving in current direction.

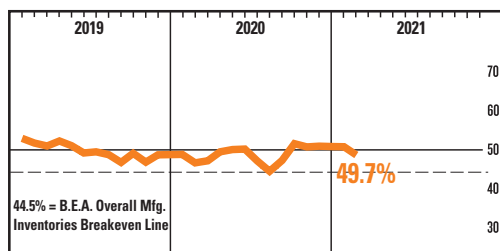
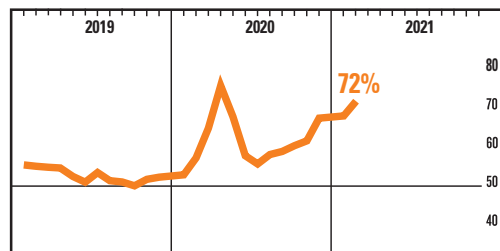
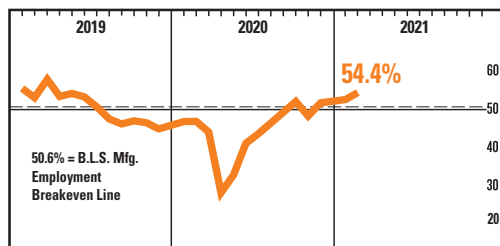
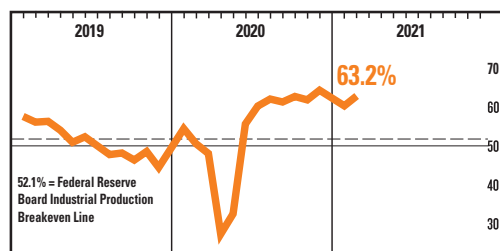
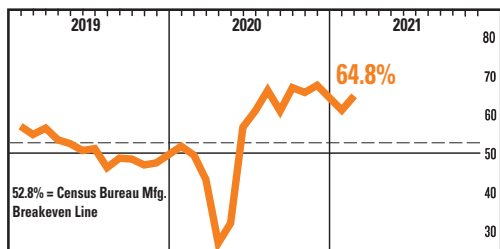
Manufacturing ISM® *Report On Business*® data is seasonally adjusted for the New Orders, Production, Employment and Inventories indexes.



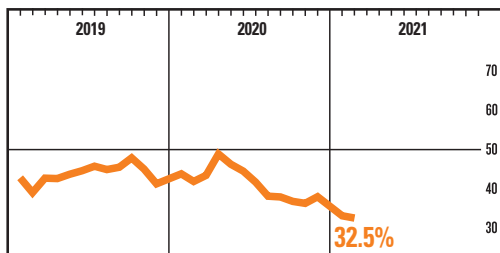
Commodities Reported

Note: The number of consecutive months the commodity is listed is indicated after each item.

Commodities Up in Price: Acetone; Acrylonitrile Butadiene Styrene (ABS) Plastic (2); Aluminum (9); Aluminum Extrusions; Capacitors; Copper (9); Corrugate (5); Corrugated Boxes (4); Crude Oil (3); Diesel (2); Electrical Components (3); Electronic Components (3); Fiberglass Products; Freight (4); High-Density Polyethylene (HDPE) (2); Lumber (8); Methyl Methacrylate; Natural Gas (2); Nylon Fiber (2); Ocean Freight (3); Oil-Derived Products; Packaging Supplies (3); Paper Products (3); Personal Protective Equipment (PPE) — Gloves (3); Plastic Resins (6); Plywood; Polyethylene; Polyethylene Terephthalate (PET); Polypropylene (8); Polyurethane Foam Products; Polyvinyl Chloride (PVC) (5); Precious Metals (2); Propylene (2); Resin-Based Products; Resistors; Rubber Products; Semiconductors; Solvents — Other; Soybean Products (5); Steel (7); Steel — Carbon (3); Steel — Cold Rolled (6); Steel — Hot Rolled (6); Steel — Scrap (3); Steel — Stainless (4); Steel Plate; Steel Products (6); and Wood — Pallets (3). **Commodities Down in Price:** Dairy. **Commodities in Short Supply:** Acetone; Aluminum; Computer Displays/Monitors; Corrugate (2); Corrugated Boxes (4); Electrical Components (5); Electronic Components (3); Freight — Ocean; Isocyanates; Methacrylate; Personal Protective Equipment (PPE) — Gloves (12); Plastic Products; Polypropylene; Propylene; Semiconductors (3); Steel (3); Steel — Cold Rolled (2); Steel — Hot Rolled (4); Steel — Specialty; and Steel Products.

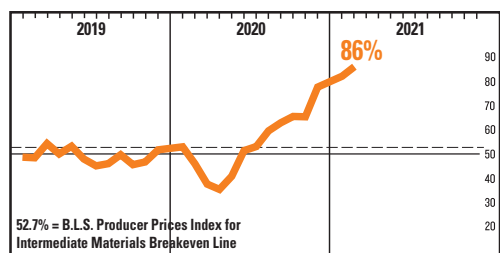


†Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



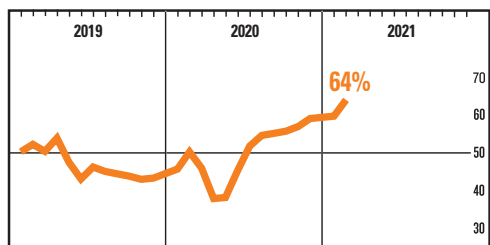
Customers' Inventories

ISM's Customers' Inventories Index registered 32.5 percent. Of the 18 industries, the only one reporting higher customers' inventories in February is Printing & Related Support Activities. The 16 industries reporting customers' inventories as too low during February — listed in order — are: Fabricated Metal Products; Wood Products; Machinery; Primary Metals; Nonmetallic Mineral Products; Computer & Electronic Products; Transportation Equipment; Petroleum & Coal Products; Paper Products; Furniture & Related Products; Chemical Products; Electrical Equipment, Appliances & Components; Plastics & Rubber Products; Textile Mills; Food, Beverage & Tobacco Products; and Miscellaneous Manufacturing†.



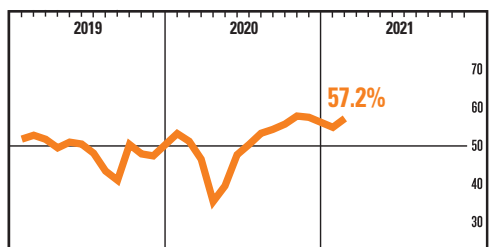
Prices

The ISM Prices Index registered 86 percent. All 18 industries reported paying increased prices for raw materials in February, in the following order: Apparel, Leather & Allied Products; Furniture & Related Products; Paper Products; Primary Metals; Fabricated Metal Products; Plastics & Rubber Products; Nonmetallic Mineral Products; Machinery; Electrical Equipment, Appliances & Components; Petroleum & Coal Products; Textile Mills; Miscellaneous Manufacturing†; Chemical Products; Food, Beverage & Tobacco Products; Printing & Related Support Activities; Wood Products; Transportation Equipment; and Computer & Electronic Products.



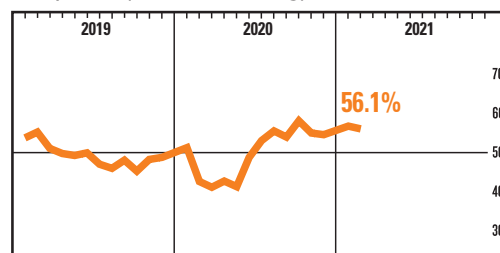
Backlog of Orders

ISM's Backlog of Orders Index registered 64 percent. The 14 industries reporting growth in order backlogs in February, in the following order, are: Electrical Equipment, Appliances & Components; Machinery; Transportation Equipment; Wood Products; Textile Mills; Paper Products; Computer & Electronic Products; Plastics & Rubber Products; Fabricated Metal Products; Primary Metals; Chemical Products; Furniture & Related Products; Food, Beverage & Tobacco Products; and Miscellaneous Manufacturing†.



New Export Orders

ISM's New Export Orders Index registered 57.2 percent. The 13 industries reporting growth in new export orders in February — in the following order — are: Nonmetallic Mineral Products; Textile Mills; Wood Products; Electrical Equipment, Appliances & Components; Machinery; Transportation Equipment; Fabricated Metal Products; Food, Beverage & Tobacco Products; Primary Metals; Computer & Electronic Products; Miscellaneous Manufacturing†; Plastics & Rubber Products; and Chemical Products.



Imports

ISM's Imports Index registered 56.1 percent. The 10 industries reporting growth in imports in February — in the following order — are: Textile Mills; Nonmetallic Mineral Products; Transportation Equipment; Primary Metals; Machinery; Computer & Electronic Products; Food, Beverage & Tobacco Products; Fabricated Metal Products; Chemical Products; and Electrical Equipment, Appliances & Components.

†Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).